With lower stock allocations, the 4 percent rule is less likely to work, because it places demands on spending above what today's interest rate environment can easily support. It is magical thinking to believe that bonds can earn higher rates of return than implied by today's low interest rate environment. Returning to the issue of sequence-of-returns risk for retirees, the early returns matter disproportionately in determining sustainable spending outcomes. Success is also less for higher stock allocations because of the assumption that the historical equity premium is maintained on top of a lower bond yield, resulting in lower overall stock returns during the early part of retirement when returns matter the most.

Exhibit 5.6

Portfolio Success Rates for a 4% Withdrawal Rate

Rolling vs. Monte Carlo Simulations

For a 30-Year Retirement, Inflations Adjustments